Insights Live℠

Strategies to create a "retirement paycheck"

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TRANSCRIPT

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SUZIE ALLEN: Hello, and welcome to *Insights Live*℠: "Strategies to create a 'retirement paycheck.'" I'm Suzie Allen, Vice President of *Insights from Fidelity Wealth Management*®. Thank you for joining us today and for submitting questions ahead of today's webinar. Your questions have helped shape our discussion.

So this webinar is the second installment in our three-part series focused on preparing for and living in retirement. Last week, we discussed ways to have a fulfilling retirement. Let's take a glimpse at our agenda today.

Our discussion includes building your retirement paycheck, creating a tax-efficient withdrawal strategy, and positioning your finances for potential long-term retirement success.

Now, here at Fidelity, retirement planning is at the core of what we do and a foundational part of our comprehensive financial planning approach. It's not just about reaching retirement. It's about creating a plan that can help support the lifestyle you want throughout retirement. So now, I'd like to introduce the outstanding professionals joining us today.

Rita Assaf is a Fidelity Vice President of Retirement Offerings based in our Smithfield, Rhode Island, office. And Julie Ramos is a Fidelity Vice President and Regional Planning Consultant based in our Chandler, Arizona, office. So thank you both for being here today.

All right, well, let's dive right in and start discussing strategies for creating a retirement paycheck. Julie, let's start with you. Welcome back. When a client tells you they're starting to seriously think about retirement, where do you begin the conversation?

JULIE RAMOS: Yes. Good morning, Suzie. Good to be back. So when a client tells me they're starting to seriously think about retirement, I begin by taking a step back and understanding their overall picture. Before we talk about investments or income strategies, I want to know what retirement's going to look like to them. Where are they retiring to, not just from? What goals, priorities, and lifestyle do they envision? Those that joined us last week, we heard our panelists share on this idea too.

From there, we look at what savings and income sources they have available and how that aligns to the income that they'll need. How comfortable they may be managing their finances in retirement. And once we have this, we can level-set around the savings and spending relationship, because retirement just isn't about accumulating, it's about sustaining a paycheck from the assets that they've saved. So once we understand their goals, and expenses, and comfort level, we can start to build a strategy to turn their savings into reliable income while still supporting the lifestyle they want to live in retirement.

SUZIE: All right, Julie. Thank you for setting the stage. So, Rita, when building a retirement paycheck, how do you help clients determine how much income they need?

RITA ASSAF: Well, after gathering the data and your goals, your expenses, we typically then want to drill down in your expenses and categorize them into two groups, which are essential and nonessential expenses. So think of essential expenses as your must-have costs like housing, food, health care, and other basic living expenses. And, ideally, those essential expenses are covered by what we call guaranteed sources of income. These are typically not stock market dependent income, such as Social Security, or pensions, or annuities.

And then there's nonessential expenses. So think of these as discretionary or nice-to-have expenses like travel, entertainment, dining out. And, ideally, these would be funded through your savings and investment accounts. That way, if there's some sort of market volatility, market fall, you can pull back without hurting your essential daily expenses that you need to live off of.

SUZIE: All right. Well, Rita, thank you. And welcome back, of course. You highlighted essential and discretionary expenses. So, Julie, one challenge many people face is accurately estimating what they'll actually spend in retirement. So how do you help clients build a realistic spending plan?

JULIE: Yeah, Suzie, we start with a review of recent spending patterns. It's nice that credit card statements and bank statements can get this information pretty easy for us. So we usually start there. Next up is really to get honest about your detailed spending.

I can't tell you how many times clients have told me, oh, I spend $5,000 a month. But when we dig into the numbers, it's actually quite different. What seemed like $5,000 may actually be closer to $7,000—may not sound like a huge difference, but over 25 or 30 years in retirement, it can have a significant impact on how much the portfolio needs to generate. And when markets become challenging and we go through, either a downturn or a recession, those assumptions start to matter even more.

I can think of a client I worked with who was convinced they were ready to retire. And once we went through the spending line by line, we uncovered several expenses, several categories that they hadn't considered. And in this case, it wasn't bad news, but it did give us clarity and allowed us to build a correct plan that we could have more confidence in. So, before worrying about investments, or market forecasts, or what's going on in the economy, it's really a good point to start with to be realistic about what retirement will actually cost you. And that way, we can build our retirement income from there.

SUZIE: All right. Thank you, Julie. Now, once we have a realistic understanding of spending needs, the next step is identifying the income sources that can help support them. For many retirees, Social Security becomes a cornerstone of that retirement paycheck. So, Rita, we have received a lot of questions from clients about when to claim Social Security. What factors should clients consider when deciding when to start benefits?

RITA: Yeah. So claiming Social Security still is an important part of your retirement income plan. But you want to understand your options and then the implications to your income. So I'll just go through some basics and then explain a little bit of it. But you can start receiving your Social Security as early as age 62, but you are entitled to your full Social Security benefits when you reach what we call full retirement age—or you might have seen it referred to as FRA.

And your FRA will depend on your date of birth. So right now, the FRA is age 67 for anyone born in 1960 or later. And usually, the education is if you can wait to claim your Social Security, it may increase your lifetime benefit.

So one example is if your FRA is 67, your lifetime benefit may increase by almost 24% if you wait to claim until age 70. But that is not always what most people can do. So this is where you want to talk to someone or do your homework to understand the options. So another example is married couples. They actually have multiple options when it comes time for taking Social Security.

So each member of a couple may have different claim dates and different options. So spouses have the option of either claiming their own benefits based on their own work history or 50% of their spouse's benefit. And so for couples with big differences in earnings, it might actually be more beneficial for a spouse to take their spousal benefit instead of their own benefit.

And, actually, just yesterday, we did hear that there was a cost-of-living update for Social Security, which is reviewed almost every year. And the increase for 2027 is 3.6%. So that's something that also needs to be factored in. But I usually like to use a very simple checklist for Social Security. Know your numbers. Find out your FRA, your earnings history, and your estimated benefits.

And then do the math. Fidelity as well as others have self-service tools. But Fidelity does offer a free self-service tool or calculator that helps you to estimate your Social Security benefits.

SUZIE: All right. Well, I appreciate the timely news there, Rita. Well, as you were saying, Social Security can provide an important foundation of predictable income. But, for many retirees, it may not cover all of their essential expenses. So that brings us to another income source that often generates questions from clients—annuities. So, Rita, talk to us—what role can annuities play in a retirement income strategy? And who might consider them?

RITA: Well, so the backdrop of the retirement landscape has changed considerably. So people relied on Social Security and pensions, and that's not the case anymore. People are living longer. In fact, 30 million baby boomers are expected to reach age 65 between now and 2030. And pensions are no longer, really, the reliance of a retirement strategy.

So in 2023, only 15% of workers had access to a pension plan. So this is where retirees are looking for other guaranteed income sources. And that's where lifetime income annuities can actually play a role. So these are annuities that guarantee a stream of income for your lifetime. And it's not subject to the day-to-day fluctuations of the market. So Fidelity believes, in general, that investors should allocate no more than half of their retirement assets into income annuities because these can provide valuable lifetime guarantees, but they also reduce liquidity and limit access to a portion of your portfolio.

So you need to be careful as you sign up, what does this look like for your larger retirement portfolio? That's just one of many considerations when looking at an income annuity. There are also tax considerations and your overall retirement income needs. So this is where we do recommend talking with your financial advisor to determine whether annuities are a fit for you.

SUZIE: All right, Rita, thank you for outlining some of those considerations. Julie, would like to understand, how do you help clients determine if an annuity is right for them?

JULIE: Yeah. As Rita said, we've seen these changes to how people retire today versus past generations. And so, because of this, we believe essential expenses should be covered by predictable sources of income. So what does that mean?

What that means is that we want income not dependent on the stock market to cover expenses that we know are going to happen are essentials. But for our flexible expenses, we can rely on income that is dependent on our portfolio, dependent on the market. And that way, when things aren't going well in the market, we can adjust.

So once we've identified income sources that aren't dependent on the market, things like Social Security, pensions, and income annuities, if you have them, or other guaranteed sources of income, the next step is understanding what sources that will actually cover—so what expenses that will cover.

So going through that exercise, we can determine if there's a gap. And if there is a gap that only relying on Social Security isn't going to get us there, then the income annuity can be a way to fill that gap. Generally, we start exploring income annuities when someone's just a few years away from retirement or already in retirement. There really is the sweet spot here. If we look at this too soon, we can miss out on the growth that we need in our portfolio. And if it's too late and volatility creeps into our portfolio, it can impact our retirement income plan.

SUZIE: All right, Julie. Thank you. Now that we've covered predictable sources of income to cover those essential expenses, let's switch gears and talk about creating the retirement withdrawal strategy. So once someone retires, how can they create a sustainable withdrawal strategy over the long term?

JULIE: Yeah. I get this question a lot. Sustainable income is definitely a key part of retirement income. But each plan is unique. A lot of clients will have an understanding of the 4% rule up front.

The 4% rule is a guideline that suggests that retirees aim to withdraw about 4% to 5% from their savings the first year of retirement, and then adjust that amount each year for inflation. And this is a good place to start. It's a good rule of thumb, a good guideline. However, I do find that most people's spending habits have been formed by the time they retire.

So to go into retirement and change your habits, change your spending pattern is not something that we generally see happen in reality. So to just let your balance dictate your spending doesn't seem to be the most effective plan. So, although this 4% guideline is a good gauge for how much income a portfolio could sustain through retirement, most people don't spend the same amount every year, just like we don't when we're working.

There'll be larger expenses some years—maybe a new car, home improvement, wedding that you have to pay for. And other years, things may be pretty simple where nothing large comes up. So knowing and planning for this is really important.

So if you're taking income from your retirement accounts, the same every year, you may be paying taxes on money you're not spending. And the same could be the case that if you're just letting that income dictate your spending and you have one of those larger expenses come up, you may have to take a higher withdrawal in a year and, therefore, pay more taxes unexpectedly. So it really comes down to planning and preparation. So the more we can prepare ahead of time, the better.

And I generally tell my clients to start with five years. We can usually get an idea of what's going to happen in the next five years. We generally know if we're going to have a big ticket item like a car, a wedding, a roof, or a vacation in the next five.

SUZIE: All right. Well, Julie, you just mentioned taxes. And many retirees have assets across different account types. So, Rita, how can clients determine the most tax-efficient way to withdraw from these different sources?

RITA: So, in the past, you used to get this pension check, you would just take that, and that was your income stream. But, now, people have income and accounts across different tax types. So what I mean by that is they have taxable accounts, like a brokerage account, tax-deferred accounts, like your pretax 401(k) or traditional IRA, and then what we call tax-free accounts, which are typically some sort of Roth source, like a Roth IRA. But the order and timing of those withdrawals can have an impact on how you're actually taxed.

So one traditional approach is considering a sequential order. So what I mean by that is you would first draw down from your taxable accounts. And this is where you could tap into interest, dividends, capital gains, and then allow your tax-deferred accounts to potentially grow. And then, second, you withdraw from your tax-deferred accounts, like your traditional IRAs and your 401(k)s.

But when these are withdrawn, they are taxed as ordinary income. And then, third, you would withdraw from your Roth sources, which would be tax-free if they are for qualified distributions. And by waiting for Roth last, it actually preserves the tax-free growth that you would get and flexibility that it would give you later.

And so this approach usually allows for your tax-advantaged accounts, so the tax-deferred and tax-free, to grow longer. And it helps you to manage taxable income in the really early years of retirement. But the downside is some people potentially face a spike in taxes once they start drawing down later from some of these accounts. And that can lead to higher Social Security taxes or what you might hear of as IRMAA Medicare surcharges.

So that's where there could be a different approach to help with smoothing what we call some of the tax impact. And that's proportional withdrawals. So rather than drawing down in a one, two, three order, you actually use a blend across these different sources. And that helps you

with spreading out the tax liability. And it also helps you with staying, potentially, in a certain tax bracket so you don't run into IRMAA premium surcharges and Social Security taxes.

But this is where you still want to work with financial professionals to understand your whole portfolio and your story so that you can understand what's best for you. Because some of these are tax important discussions you want to have so that you don't ultimately make a costly mistake.

SUZIE: All right, Rita. Thank you for surfacing those different approaches. Let's talk more about managing taxes in retirement, specifically asset location. And I say that because sometimes we confuse the terms *asset allocation* and *location*. So asset location is when you hold different assets in different accounts to help reduce taxes. So, Julie, talk to us about how using asset location can potentially help reduce the taxes of your portfolio.

JULIE: Asset location is a strategy that combines taxes and investments. So, as you mentioned, it's really about putting the right investments in the right account types. We know that different investments are taxed differently, and so where you hold them can have a meaningful impact on your bottom line, your after-tax outcome.

So, for example, bonds are more tax expensive. Because they pay interest, they generate taxes at ordinary income rates, whereas stocks pay dividends, which are generally taxed at a lower rate. So, at the same time, we also see that bonds have historically had lower growth potential than stocks over the long term. So, because of that, it can make sense to hold these bonds inside of tax-deferred accounts, like an IRA. And so, by doing so, you're helping with three types of taxes.

One, you're reducing the taxes you pay today on that interest income. Second is by holding those slower-growing assets inside of the IRA, naturally, you'll have less future required minimum distributions while experiencing the same portfolio-level returns. And third is by having your growth in that nonretirement account with the stocks held there, your assets that you would ultimately leave to your heirs are going to be an account that they wouldn't have to pay taxes to access.

So we also know that because stocks pay dividends, which are less expensive taxwise, with that higher growth history that we've seen there and our after-tax brokerage accounts, we're really optimizing that after-tax performance. So, at the end of the day, asset location is about improving tax efficiency. We're not changing the investments. We're not changing the impact to our portfolio return. We're just simply being thoughtful about which account to hold them in so that we can keep more of what we earn, both now and throughout retirement.

SUZIE: All right, Julie. Thank you. And you teased required minimum distributions, which is a topic we receive many questions about, often called RMDs. And so many retirees know they'll

eventually need to take required minimum distributions. But they may not understand how much those distributions can impact their overall plan. So, Rita, a topic that's near and dear to you—what do retirees need to know about RMDs?

RITA: Yeah, RMDs are one of my favorite topics, not so much for some of our clients. So RMDs are required. And whether you knew it or not, you were essentially signing a contract with the government when you went to go save in tax-deferred accounts like a traditional IRA or 401(k), where you were able to, potentially, get a tax deduction—so saving on taxes.

But that meant in return, at a later date, you would have to settle up with the government in the form of RMDs. So RMDs, as mentioned, are required minimum distributions. And it's important to note that you don't have to take RMDs in Roth IRAs and Roth 401(k)s, which is a benefit, but you do need to take RMDs, in some cases, for inherited Roth IRAs. So traditionally, RMDs are for what we call pretax or tax-deferred accounts.

And they start at age 73. However, there are some nuances where you may not need to start at 73, and that's usually if you're still working and you have a 401(k), you can usually not take an RMD at that time. But for IRAs, you don't get that granted exception. So they start at age 73. And the deadline to take your RMD is December 31.

But there is an option for your first-year RMD where you can actually delay taking your first-year RMD to April of the year you turn 74. However, if you do that, you then, technically, have two RMDs in that year. You'll have your first-time RMD that you take by April when you turn 74, and then your second RMD that you would have had for when you turn age 74. And that can have a tax impact if you have two big RMDs.

But, in general, financial providers like ourselves will calculate your RMD for you, provided that we have your balance on the last day of the year, which is 12/31. But, if you're interested, there are resources to help you with RMD calculations. And the RMD calculation itself is actually pretty simple.

So you take your retirement account balance at the end of the previous year, on 12/31, and you divide it by something the IRS calls a life expectancy factor, which is based on your age. And it does change every year. So, as an example, let's take someone who's age 74. They had a balance of $100,000 on 12/31 of the previous year.

And age 74 relates to an IRS life expectancy factor of 25.5. So you just divide $100,000 by 25.5, and your RMD is roughly about $3,900. So the thing to remember, though, with RMDs is, like I mentioned, RMDs get taxed as ordinary income. And this means the withdrawals will count towards your taxable income for the year, which are subject to federal taxes and, in some cases, state taxes.

And where many retirees get tripped up with RMDs is they can move you up a tax bracket. So for decades, people are like, oh, I'll be in a lower tax bracket in retirement. And that may not be the case because you might have large RMDs, and that will then have a cascading effect onto, again, everyone's two favorite topics—IRMAA Medicare premium surcharges and Social Security. So this is, again, another tricky one where you need to consider withdrawals with your tax bracket income and how you can manage that in retirement, because it does have a cascading effect.

SUZIE: Well, Rita, as you highlighted, RMDs can be something that are seen as a required tax event. And many of our retirees do feel that way. So, for those retirees who don't need their RMDs for living expenses, Julie, how can they make the best use of those withdrawals?

JULIE: Yeah, Suzie. I often encourage clients to think of it differently. It is a required tax event. Like Rita mentioned, it's an agreement to pay these taxes later. But once the money is distributed, we do have some choices here. We can save it, spend it, or give it.

So, first, save it—just because the money has to come out of retirement doesn't mean it needs to stop working for you. You can continue to invest this money in your general brokerage account. It can continue to grow those assets for your long-term plan. Second is to spend it. And this is often my favorite conversation, because it's about helping clients enjoy the wealth they've spent decades building.

So sometimes a larger purchase that you've been putting off—I had a client wanting to buy a car, and after realizing how much their RMD was actually going to be, it was more than enough to cover the car. So they decided to treat themselves to a more luxury vehicle. They spent more money than they typically would have on that car purchase.

I've had another client who, once they realized their RMDs were kicking in, they decided to escape this Arizona heat we have every summer and rent a home up on the Oregon coast to get out of Arizona for the summer. So the point is, the RMD doesn't have to create this opportunity just to pay taxes—that you can actually use it to do things that you've wanted to do.

The third option is to give it. So for charitably inclined clients, a qualified charitable distribution is a very tax-efficient way to satisfy some or all of your RMD while supporting causes that you care about. I also see clients that will start intentionally gifting to children and grandchildren after RMD age. And so those family gifts, they don't qualify for a tax deduction. But many clients tell me they'd rather see their loved ones benefit from the money being spent today rather than having their children or grandchildren waiting to inherit it later.

There's something super special about being able to watch your children or grandchildren enjoy that gift when it can really make a bigger impact. So, ultimately, RMDs don't have to be viewed

as just another tax bill, but they can be the catalyst for achieving goals, helping family, supporting charities, and continuing to build wealth just in a different account. So being intentional about which of those buckets—save it, spend it, or give it—best aligns what's important to each person.

SUZIE: Well, Julie just highlighted being intentional with RMDs. And, Rita, wondering what other planning opportunities are available to help retirees manage the tax impact of RMDs.

RITA: Julie just mentioned one, which is QCDs, qualified charitable distributions. But there is another solution that not everyone really is that well aware of. And that is QLACs, or qualified longevity annuity contracts. That's a bit of a mouthful for me.

But think of a QLAC as a deferred income annuity. And it's only funded with retirement assets like a traditional IRA or 401(k). And the maximum lifetime funding amount, at least in 2026, is $210,000, although that can go up depending on inflation. And what's unique about QLACs is that the amount you invest in it is actually removed from RMD calculations.

And so that is a cool feature that not a lot of people know about. But what that means is you do need to take the income stream from the annuity at age 85. And at that point, then, yes, the payments that you get are considered ordinary income. So it has the benefit of reducing RMDs, but this is also helpful for clients if they think, later, they need more income stream or more cash flow later in life, when health care expenses might be a bit higher or they might have long-term care costs. So that's just another potential solution to think of along with a playbook of a million others that we can help you with.

SUZIE: All right. Awesome, Rita. I want to switch gears and bring up a very popular topic right now. So we receive a lot of questions from our clients about Roth conversions. So help us understand, what's a Roth conversion? And, truly, why has it become so popular?

RITA: Yeah. Anything Roth or Roth conversions have basically gone viral. And they've gotten popular because they allow you to pay taxes now in exchange for potential tax-free growth and withdrawals later. And it's really coming to a head at this point for a lot of those who are transitioning to retirement or are currently living in retirement, because this group has accumulated these large pretax balances. And that's because Roth IRAs and Roth 401(k)s were not really widely available during their saving and retirement phase.

So now they're looking at huge RMDs, potentially higher tax brackets in retirement. And this is where Roth conversions can come in. And a Roth conversion, at the very simple level, is just you're moving money and assets from a tax-deferred account, like your traditional IRA or pretax 401(k), to a Roth source, which is Roth IRA or Roth 401(k).

The thing is, the converted amount is generally taxable in the year of the conversion. But what you get out of a Roth conversion is basically the benefits of a Roth IRA, which is you have the potential for tax-free withdrawals in retirement. You don't have RMDs. And then it's a great wealth transfer and an opportunity for your heirs, because if they inherit an inherited Roth IRA, they actually have tax-free withdrawals. So that's a very cool feature.

SUZIE: Rita, let's talk about a couple other flavors of Roths, if you will—backdoor Roth and mega backdoor Roth. How are these different from Roth conversions?

RITA: Yeah, just to add to the confusion, there's multiple flavors of Roth conversions. And so backdoor Roth conversion has come up quite a bit. And that is the process of making a non-tax-deductible contribution to a traditional IRA and then converting it to a Roth IRA. And this is often used by high-income individuals because they're ineligible, because of their income, to get a tax deduction to a traditional IRA.

However, the amount, and this is what people get really tricked up, something called the pro rata rule, which is you're taxed, as a result, of the conversion of any pretax IRAs you have, not just that one pretax IRA. And that catches people off balance, because then they get this larger tax bill and they're like, what are you talking about? In the eyes of the IRS, all of your pretax IRAs are considered one. And so you can't cherry pick, oh, I made a non-tax-deductible contribution here, and that's going to be, then, converted tax-free to my Roth. So that's one important factor.

There's also something called an in-plan Roth conversion, which is it involves your employer-sponsored plan. And this is where, if your plan allows for it, you can actually take a portion of your balance or your entire balance from a pretax 401(k) or 403(b) into a designated Roth source in the same plan. But, again, that is dependent on your plan rules and whether they allow for it.

And then there is something called the mega backdoor Roth conversion, and this also involves your employer plan. So it's making after-tax contributions to your workplace plan. And, again, they have to allow for that and then either converting it to a Roth IRA or a Roth 401(k). And it's "mega" because it's taking 401(k) contribution limits, which are much higher than IRAs, so you're allowing for much larger Roth conversions into your account. But, again, it depends on whether your plan allows for it.

SUZIE: All right, Rita, thank you for that. And, understandably, a Roth conversion isn't always the right strategy. So, Julie, what are the key trade-offs and considerations someone should evaluate before moving forward?

JULIE: Yeah. Roth conversions can be incredibly valuable, or in-plan conversions, as Rita mentioned, one of the other flavors there. But they're definitely not a one-size-fits-all strategy.

And there are important trade-offs. So, first, you are voluntarily accelerating taxes when doing a Roth conversion. So we want to be thoughtful about how much income you're creating each year by doing these conversions.

Your conversion could push you into a much higher tax bracket. So the math may not work out as well. So we want to look for opportunities to fill up a tax bracket without necessarily spilling into the next one.

Another key consideration is time. We want to make sure you have enough time to grow back those taxes you've paid so that we're able to recoup those taxes. So the taxes paid on the conversion are an up-front investment. And the longer the money is invested is going to be able to grow tax-free, the greater the potential for the benefit. So for someone with a longer time horizon, those Roth conversions may be very attractive. Someone with a shorter time frame may not see the value, and it may be less compelling.

And we also want to look at where those taxes are going to come from. So, generally, it's going to be more efficient to pay those taxes from an account outside of that IRA that you're using to do the conversion so that more money can stay tax-free. So, ultimately, the Roth conversion is a tax planning decision, not an investment decision, and while we're trying to determine whether paying those taxes today is likely going to be less expensive than paying them later. So by looking at current tax rates, future RMDs, your legacy goals, how much you expect to have or need for retirement income can help us determine whether that conversion is actually going to make sense, and just as importantly, how much to actually convert.

SUZIE: All right. Well, we've certainly been talking about being thoughtful with our taxes and our tax strategies here. So let's talk about tax surprises. So what are some of the most common tax surprises people encounter after they retire? And, Rita, talk to us about that. And how can people prepare for them?

RITA: Yeah. So because now, in retirement, your income comes from different sources and different account types with different tax treatment, people are often surprised by how much their taxes can actually be. So, for example, traditional IRAs, and 401(k)s, the withdrawals are taxed as ordinary income. But if you're taking money out of a brokerage account, your long-term capital gains are usually taxed at about 20% at the federal rate. And then Social Security is tricky as well, because the way that's taxed isn't necessarily intuitive. It's not based on your tax bracket. It's a combination of different income sources.

So, first, it's based on your adjusted gross income, or your AGI, plus any nontaxable interest like muni bond interest, and then half your Social Security income. And then depending on where you are in that calculation, your Social Security benefits may be taxed from 0% to 85%. So it is a pretty big move depending on where you are.

And then the higher your income is it can trigger—we've mentioned IRMAA, but also the 3.8% net investment income tax as well. And so, to help manage some of these tax surprises, usually I have a few key tips, which is monitor your income through the year. You want to try to keep your taxable income below certain key thresholds, for example, like Medicare.

Look at your tax-free income sources strategically, like that Roth source I mentioned, but also HSAs—this is where that can come in—and any potential muni bonds that can help with tax-advantaged income. Take advantage—and this is where planning comes in—take advantage of what we call the income valley. This is usually the period between when you've retired and before the start of RMDs, where you might have that opportunity, as Julie mentioned, for Roth conversions or even just taking IRA withdrawals from your pretax balances to lower your tax rates.

And then, finally, you can consider charitable distributions and the use of QCDs, which can help you to satisfy RMD requirements and also reduce your taxable income.

SUZIE: All right. Those are great tips, Rita. Thank you. We've heard from many clients that one of their biggest concerns is running out of money in retirement. Julie, how can retirees position their portfolios to keep up with inflation without taking on excessive risks?

JULIE: Yeah. Two key risks that retirees face are inflation and longevity. Many people are living longer than they'd expect. So when we build retirement plans with clients, we often assume they'll live well into their 90s, as data shows us that 25% of people will. We run simulations allowing us to understand how each of the variables of their plan, so what they've saved, what income they'll have, how much they spend, when they're going to take Social Security, longevity, investment returns, all the different variables—how each of those things are going to impact their retirement plan.

And today, with people living longer, inflation remains more and more of a concern. Market and interest rate environments have proven to be challenging and can significantly change over 25 and 30 years that we'd expect people to be in retirement. So we know that one way to get against inflation, one defense against inflation is the stock market. And it's going to give us the potential to keep up with inflation.

So being too conservative can cause our risk of inflation to impact our plan even more. However, we want to be intentional about how much market risk we have. And, ultimately, finding that right balance between growth and stability is the key so that we can make sure your money will last throughout retirement.

SUZIE: Well, Julie, you mentioned the risks inherent in being too conservative with your investments. For investors approaching retirement, how should they think about balancing different income needs like income or growth?

JULIE: Yeah. At Fidelity, we believe a retirement plan should cover these four key areas—so emergency, income, growth, and protection. So we start by making sure clients have adequate cash reserves for expenses. Just like when we're working, our emergency fund doesn't go away when we're retired. So we want to make sure we have our emergency fund.

Next, we focus on building an income plan, because that's the foundation of our retirement confidence. We want to identify dependable sources of income, stress-test the plan across a variety of market environments to help ensure that our essential spending needs can be met, regardless of what the market's doing, and then make sure we have growth-oriented investments. Like we mentioned before, keeping up with inflation is going to be important and supporting what we'll still have for long-term goals.

And then, last, we want to look at protection strategies to help clients prepare for life's uncertainties and so that you and your loved ones have that peace of mind. And when clients have a sound plan and all these things come together to support their spending needs, we often find they're more comfortable staying invested and so they can focus on the long term.

SUZIE: All right. Thank you, Julie. We're hearing a lot about bonds in the news as of late. So, Rita, what role could bonds play in a retirement portfolio, especially given today's rate environment?

RITA: Bonds will always play a great diversification piece of your retirement portfolio. It provides income. And, historically, it's not correlated with the stock market, which means they move in different directions. So, should there be a market event and impact stocks, this is where bonds can come in to help cushion that.

And, in September, the Federal Reserve actually delivered its first rate hike in more than three years. And they signaled that there could be another one before year-end. And so usually when interest rates rise, you'll see the value of your current bonds fall. And so if you're retired now, that provides anxiety. But the silver lining is new bonds and new offerings can actually have higher yields because of the higher interest rates.

And, in this case, we might see some really attractive yields for the first time in a number of years. But this is the focus on the big picture. You want to make sure that this is all part of a well-diversified portfolio and that your investment mix reflects your goals, your timeline, and your risk.

SUZIE: All right. Well, earlier, we had mentioned market volatility. And market volatility can certainly feel unsettling, especially when you're relying on your portfolio for income. So, Julie, during uncertain times, how can retirees stay focused?

JULIE: Yeah, Suzie, it definitely feels different seeing the market go down when you're asking for a paycheck from it each month. I can think about a client I worked with who retired at the end of

2021, started 2022. The market took a turn, and things didn't look good for the first nine months of 2022. The headlines were telling them to make changes. Any article you read didn't make the outlook look really good.

But when we met, we went back to their plan, and nothing had changed. Their emergency fund was still intact. The income that they needed was covered. And they weren't relying on the growth component of their portfolio. So they didn't need to sell stocks to cover expenses.

And so once they were able to see that, it became much easier to tune out the day-to-day noise and stay the course. So when volatility kicks up in the market and retirees want to review changes to respond to the volatility, if we do need to actually look at making changes, I like to talk about three ways to handle risk. So we look at avoid risk, manage the risk, or transfer the risk.

So avoiding the risk generally means taking some assets out of the market. This could be a portion of their growth portfolio—we could look at something like fixed income, bonds, CDs, Treasurys, fixed annuities, something that's not going to be in the market to avoid the risk. So that'd be the first way. The second way would be to manage the risk.

And this assessment is of our mix, our recipe of stocks and bonds that we have. We know the more stocks we have, the more movement we're going to see during this volatile time. So we could look at changing this recipe to add more bonds to get more stability. So that's one way we can manage the risk.

And the last way to handle the risk is to transfer the risk. So we can transfer the risk to an insurance company, just like we would with our car insurance or any other important asset that we have. We can transfer a portion of our growth or our income risk to insurance companies to deal with handling it for us with various types of annuities.

SUZIE: All right. Awesome. And you mentioned risks—so rising health care costs can certainly be another risk to your retirement plans. Rita, how can people prepare for that cost?

RITA: Well, according to our latest Fidelity research, our Retiree Health Care Cost Estimate for an average couple can expect to pay almost $371,000 to cover health care costs in retirement. And that cost does not even include long-term care. And so, for a single person, that's about $185,500. And, on top of it, the cost of health care has typically risen faster than inflation.

So health care in itself is a complex topic. And I know it's been covered within these webinars on just that theme alone. But I would say just think of a few things. One, get educated on Medicare. Fidelity Medicare Services® actually has a team of licensed insurance agents who can help you with evaluating your options. And it is auto enrollment time, so that is something to consider right now if you're eligible.

Explore paying for long-term care. So according to the US Department of Health and Human Services, individuals who reach age 65 have a 70% chance of needing long-term care. So that's another surprise that people have. And planning for that is important. And then, lastly, consider an HSA. So annual contributions to HSAs reduce your income tax. And, because of the tax advantages to an HSA, the account can potentially grow tax-deferred. And then withdrawals are tax-free when used for qualified medical expenses. So it's a powerful tax tool when used correctly.

SUZIE: Amazing. Thank you, Rita. Earlier, Julie, you had mentioned planning tools and modeling. So can you give us an example of how that works in practice?

JULIE: Yeah. So Fidelity's financial consultants can work with you on using our planning tools to show you how changing some of the components to your plan, some of the choices you have, may impact your decision on how you retire and how that decision is going to impact your plan.

So the results of these scenarios, we can actually put side by side, so you can see that comparison and the impact to your plan. Some of the most popular things that we found clients like to model to see how these decisions are going to play out in their plan are things like increasing expenses, how and when to take Social Security, how predictable income may impact their retirement plan, as well as things like longevity. So all of these scenarios that we can run, we find provide clients a lot of peace of mind. And that the clients that are looking to retire, that come to us for these conversations generally have more confidence and peace of mind on how their plan is going to work out.

Our financial consultants have the tools to show you visually what the positives, negatives of those decisions could look like. And running these scenarios before making a decision has really given clients that confidence.

SUZIE: All right. Awesome, Julie. Thank you. And thank you, Rita, as well. We hope you, our viewers, found this discussion helpful. Here are some key takeaways from our discussion today.

First, start with your spending plan, then build your income plan. Know your essential and discretionary expenses. Identify income sources and create a strategy that really aligns with your goals.

Secondly, be intentional with when and where you take income. Thoughtful withdrawal strategies, Roth conversions, which Rita talked about, and RMD planning may help improve long-term outcomes. And then, last, balance today's income needs with tomorrow's growth. A strong retirement plan balances dependable income, growth potential, and protection to help address inflation, longevity, and market uncertainty.

All right. Well, join us on October 21 for the final installment in our three-part series on designing and funding your retirement. This webinar will be an Ask Fidelity Anything, during which we'll respond to your live viewer questions on all aspects of creating a plan for your retirement, whether they're about income, expenses, or lifestyle.

In the meantime, reach out to your Fidelity representative to have your specific questions answered. And, for more timely market updates and insights on other financial planning topics, subscribe to *Insights from Fidelity Wealth Management*® for exclusive invitations to future wealth management webinars and access to our weekly newsletter. Thanks again for joining us.

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Sources:

Fidelity Retiree Health Care Costs Estimate based on a single person retiring in 2026, 65-years-old, with life expectancies that align with Society of Actuaries' RP-2014 Healthy Annuitant rates projected with Mortality Improvements Scale MP-2020 as of 2022. Actual assets needed may be more or less depending on actual health status, area of residence, and longevity. Estimate is net of taxes. The Fidelity Retiree Health Care Cost Estimate assumes individuals do not have employer-provided retiree health care coverage, but do qualify for the federal government's insurance program, original Medicare. The calculation takes into account Medicare Part B base premiums and cost-sharing provisions (such as deductibles and coinsurance) associated with Medicare Part A and Part B (inpatient and outpatient medical insurance). It also considers Medicare Part D (prescription drug coverage) premiums and out-of-pocket costs, as well as certain services excluded by original Medicare. The estimate does not include other health-related expenses, such as over-the-counter medications, most dental services and long-term care.

Fidelity estimates longevity using date of birth, gender, and the Retirement Plans (RP) mortality tables most recently published by the Society of Actuaries. These tables are based on the mortality experience of US pension plans. Among the most recent set of tables, identified as RP-2014, we use the Healthy Annuitants table, updated periodically to reflect mortality rate improvements. Our longevity estimates are not tailored to a specific individual or situation, do not reflect additional factors that could increase or decrease your life expectancy (such as your health, lifestyle, and family history), and should not be considered definitive.

"Bureau of Labor Statistics: The Economics Daily," US Bureau of Labor Statistics, June 4, 2025, https://www.bls.gov/opub/ted/2025/31-percent-of-workers-in-financial-activities-had-access-to-a-defined-benefit-retirement-plan.htm.

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